

WEBINAR BONUS 02 · VALUE Rs 1,499

The Institutional Shadowing Framework

*Where the big money is leaning on Nifty, read from data that is free and public every evening.
Follow footprints, not tips.*

FROM THE RETURNS QUANT DESK

Institutions cannot hide. Most people just never look.

Every serious position an FII or a prop desk builds leaves tracks: in open interest, in the exchange's own participant reports, in the option chain, in delivery volumes. None of it is secret. NSE publishes it every evening, free. The tragedy of retail trading is that people pay for WhatsApp tips while the actual footprints of the actual big money sit in a public CSV nobody opens.

Inside Returns, our engine reads this intent tick by tick from the raw order book. You cannot do that by hand, and you do not need to. What follows is the end-of-day version: fifteen minutes each evening, four free sources, one clear read on which way the whales are leaning.

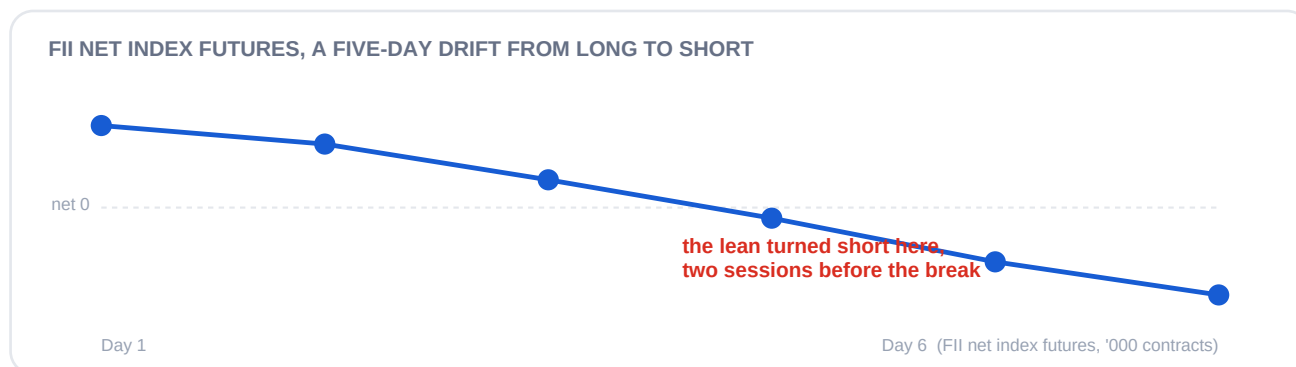
The one-line idea: you will never out-research an institution, and you do not have to. You only need to know which side they are on, and stop trading against them.

Chapter 1: the four free sources

Source	Where	What it whispers
Participant-wise OI report	NSE website, daily after close	Net futures and options positioning of FII, DII, Pro and Client. The single best footprint in Indian markets
Price + Open Interest	Any charting platform	Whether a move is backed by fresh money or is just positions unwinding
Option chain OI	NSE option chain page	The strikes big sellers are defending. The market's expected range, in plain sight
Delivery percentage	NSE bhavcopy	Whether cash buying is conviction (taken home) or churn (intraday hot potato)

Chapter 2: the FII lean

Each evening NSE tells you exactly how many index futures contracts FIIs hold, long and short. The level matters less than the drift: track the net position for five days and a lean emerges. Trade with the lean. It is that unglamorous.



The chart above is a typical pattern: the net position bleeding from long to short across a week. Nobody rings a bell at the turn. The report just quietly changes sign, and two sessions later the index usually stops bouncing.

FROM THE DESK

One warning from experience: FII futures numbers include hedges against their cash portfolios. A single day means very little. The five-day drift is the signal. The one-day print is noise wearing a suit.

Chapter 3: is the move real? The price + OI matrix

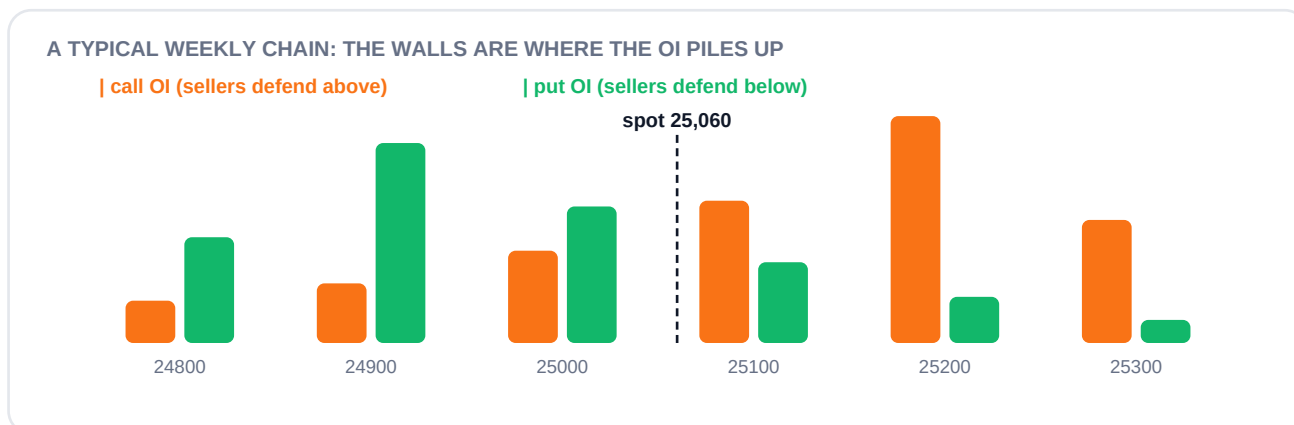
Price tells you what happened. Open interest tells you whether new money made it happen. Put them together and every session falls into one of four regimes:



The two buildup regimes are tradeable with the trend: fresh money is committing. The two unwinding regimes are warnings: the move is running on exits, and moves running on exits run out.

Chapter 4: reading the option chain's walls

Institutions sell options where they expect the index NOT to go, and they defend those strikes. Which means the option chain is a map of the range the biggest sellers believe in:



Here the heavy call OI at 25,200 is the ceiling sellers defend, and the heavy put OI at 24,900 is the floor. Two practical reads: first, inside the walls, fade the extremes rather than chase. Second, a wall that actually breaks is doubly informative, because trapped sellers hedging in a panic add fuel to the move.

On the put-call ratio: useful only at extremes. Above roughly 1.3 the crowd is complacently selling puts; below roughly 0.7 there is real fear in the room. Between those, it is a number that fills airtime on television.

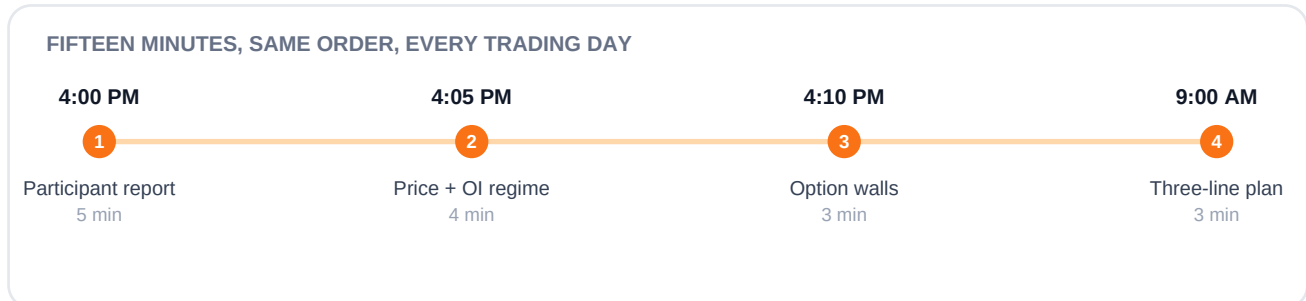
Chapter 5: what our engine sees (and your shortcut)

Two microstructure measures drive the engine's entries. **Order Flow Imbalance** is the live tug-of-war between aggressive buyers and sellers hitting the book. **Flow toxicity (VPIN)** estimates how much of the tape is informed money; when it spikes, smart money is loading one side, and the engine stands aside rather than

step in front of it.

Your end-of-day shortcut for the same idea: find the level the market tested three or four times on rising volume that refused to break. Somebody very large is absorbing there. Do not fight that level; position with it.

Chapter 6: the daily routine



1. Participant report (evening, 5 min). Note the FII net futures number and update your five-day drift.

Leaning long, short, or flat?

2. Price + OI regime (4 min). Place Nifty and BankNifty in the matrix. Buildup or unwinding?

3. Option walls (3 min). Highest call OI strike, highest put OI strike for the week. That is tomorrow's expected range.

4. Three-line plan (next morning, 3 min). Write the lean, the range, and the one thing that would prove you wrong today. Then take only the trades that agree with all three lines.

The rules of shadowing

- Trade with the five-day lean. The lean is the signal; the daily print is noise.
- Let price confirm first. Footprints give direction; price gives timing.
- Position sizing still rules everything (see the Risk Management Playbook, Bonus 01).
- Never read one day in isolation, however dramatic it looks.
- Never trust OI reads around big events. Hedging flows distort everything for a few days.
- Never confuse shadowing with front-running news. One is analysis. The other is a lottery ticket.

Fifteen minutes a day will not make you an institution. It will stop you from being their exit liquidity, which is where most retail P&L; actually goes.

Educational material only, not investment advice and not a recommendation to buy or sell any security. Investments in securities markets are subject to market risks. Read all related documents carefully before investing. Past performance is not indicative of future returns. Returns Wealth is operated by Optibase Financial Technologies Pvt. Ltd.